

# Can You Still Discipline an Employee Who Resigns to Avoid It? What Nigerian Courts Say

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A familiar HR dilemma: an employee under investigation for misconduct submits a resignation letter before the disciplinary process concludes. Can the employer still dismiss them? Can it refuse the resignation and carry on with the hearing? Nigerian case law gives a fairly clear, if nuanced, answer.

## The General Rule: Resignation Takes Effect on Receipt

The Court of Appeal has consistently held that a notice of resignation becomes effective the moment it is received by the employer, not on any later date — see *Sunday v. Olugbenga & Ors* (2008) LPELR-4995(CA), applying the earlier Supreme Court decision in *Benson v. Onitiri* (1960) SCNLR 177. There is, as a general matter, no discretion on the employer's part to refuse a validly tendered resignation. In *Zubairu & Anor v. Mohammed & Ors* (2009) LPELR-5124(CA), the Court of Appeal put it plainly: resignation dates back to the date the notice is received, and there is "no discretion to refuse the notice of resignation." Once an employee has taken the steps required of them — typically, giving the required notice or payment in lieu, as fixed by the contract or staff handbook — the resignation is effective and the master-servant relationship ends.

For an ordinary contract of employment without statutory flavour, the terms governing that relationship are whatever the staff handbook or employment letter says, and nothing more. The Supreme Court confirmed this in *Oforishe v. Nigerian Gas Co. Ltd* (2017) LPELR-42766(SC), holding that parties are bound by the terms of their contract as they are, without embellishment, and that an ordinary master-and-servant contract of this kind is governed by the employee handbook setting out the conditions of service.

## The Exception: Suspension or Ongoing Disciplinary Proceedings

There is a well-established exception. Where an employee has already been suspended, or is already the subject of a constituted disciplinary panel investigating specific allegations, the employer can validly refuse to accept a resignation tendered during that process. In *University of Calabar Teaching Hospital & Anor v. Juliet Koko Bassey* (2008) LPELR-8553(CA), the Court of Appeal held that an employee under suspension and facing an investigating panel could not resign to pre-empt the outcome, treating the attempted resignation as a pre-emptive act the employer was entitled to refuse. Although that case involved employment with statutory flavour, the underlying principle — that a resignation submitted specifically to escape a live disciplinary process can be refused — has been applied more broadly to ordinary master-servant relationships as well. The refusal needs to be communicated to the employee promptly for it to be effective; a delayed or ambiguous response weakens the employer's position.

## What Happens Once the Person Is Genuinely No Longer an Employee

If the resignation is valid and takes effect (because no suspension or ongoing disciplinary proceeding intervened, or because the employer failed to promptly refuse it), the disciplinary panel loses jurisdiction over the individual — a panel convened to discipline employees has no authority to adjudicate over someone who is no longer employed. That said, many staff handbooks include a specific consequence for resigning to avoid dismissal — commonly, forfeiture of gratuity or other departure benefits for staff who leave by dismissal for misconduct or by resignation to avoid such dismissal. Where that clause exists, the employer does not need to "dismiss" the resigning employee or refuse to accept the resignation at all; it simply needs to respond to the resignation, point to the relevant handbook provision, and treat the resignation (if not withdrawn) as triggering that consequence. Good practice is to give the employee a

defined window to withdraw the resignation if forfeiture wasn't their intention, so the disciplinary process can run its course on the merits instead.

## The Practical Takeaway

Employers facing this scenario should check three things in order: is the employee already suspended or under active disciplinary investigation (if so, the resignation can be refused, provided that refusal is communicated promptly); does the staff handbook contain a forfeiture-on-resignation clause (if so, respond to the resignation citing that clause rather than attempting a dismissal); and if neither applies, accept that the disciplinary process cannot outlive the employment relationship it was built to govern.

### A note on currency of the law

*This remains settled Nigerian case law, without any material reversal at Court of Appeal or Supreme Court level since. The National Industrial Court has continued to apply a strict, contractualist reading of staff handbooks and employment letters in recent disciplinary and termination disputes, consistent with the approach described above.*

*As with any opinion of this kind, the analysis is only as good as the specific staff handbook or contract governing the relationship in question — always confirm the actual document before relying on the general principles above.*

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